

Level 3 Tax Processes for Businesses (TPFB) reference material

Finance Act 2025 – for assessments from 26 January 2026

Reference material for AAT assessment of Tax Processes for Businesses

Introduction

This document comprises data that you may need to consult during your Tax Processes for Businesses computer-based assessment.

The material can be consulted during the practice and live assessments by using the reference materials section at each task position. It's made available here so you can familiarise yourself with the content before the assessment.

Do not take a print of this document into the exam room with you*.

This document may be changed to reflect periodical updates in the computer-based assessment, so please check you have the most recent version while studying. This version is based on **Finance Act 2025** and is for use in AAT Q2022 assessments from **26 January 2026**.

*Unless you need a printed version as part of reasonable adjustments for particular needs, in which case you must discuss this with your tutor at least six weeks before the assessment date.

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1. Rates of VAT

Taxable supplies:

Standard rate	20%
Reduced rate	5%
Zero rate	0%

Non-taxable supplies have no VAT applied:

- Exempt
- Outside the scope of VAT

2. Registration and deregistration for VAT

Registration threshold	£90,000
Deregistration threshold	£88,000

<u>Compulsory registration</u>	<u>Notify HMRC</u>	<u>Registration effective from</u>
Historic test	Within 30 days of the end of the month threshold was exceeded	First day of the second month after threshold was exceeded
Future test	Before the end of the 30 day period that threshold was expected to be exceeded	From the start of the 30 day period that threshold was expected to be exceeded

<u>Deregistration</u>	<u>Notify HMRC</u>	<u>Deregistration effective from</u>
Compulsory	Within 30 days of the business ceasing to make taxable supplies	Date of cessation
Voluntary	Evidence that taxable supplies will not exceed the VAT deregistration threshold in the next 12 months	Date request received by HMRC, or agreed later date

3. Failure to register for VAT

- This can result in a penalty for failure to notify. The penalty is a % of potential lost revenue (PLR).

Type of behaviour	Within 12 months of tax being due		12 months or more after tax was due	
	unprompted	prompted	unprompted	prompted
Non-deliberate	0-30%	10-30%	10-30%	20-30%
Deliberate but not concealed	20-70%	35-70%	20-70%	35-70%
Deliberate and concealed	30-100%	50-100%	30-100%	50-100%

- Penalties will not be applied if there is a reasonable excuse.
- HMRC will treat the business as though it had registered on time and will expect VAT to be accounted for as if it had been charged. The business has two choices:
 - treat the invoices as VAT inclusive and absorb the VAT which should have been charged, or
 - account for VAT as an addition to the charges already invoiced and attempt to recover this VAT from its customers.

4. Changes to VAT registration

HMRC must be notified of a change of:

Name, trading name or address	Within 30 days
Partnership members	Within 30 days
Agent's details	Within 30 days
Bank account details	14 days in advance
Change in business activity	Within 30 days

5. Keeping business and VAT records

Record retention period	6 years
Penalty for failure to keep records	£500

6. Contents of VAT invoices

Full VAT invoices

- a sequential number based on one or more series which uniquely identifies the document
- the time of the supply (tax point)
- the date of issue of the document (where different to the time of supply)
- supplier's name, address, and VAT registration number
- customer's name and address
- a description sufficient to identify the goods or services supplied
- for each description, the quantity of the goods or the extent of the services, the rate of VAT and the amount payable excluding VAT — this can be expressed in any currency
- the gross total amount payable, excluding VAT — this can be expressed in any currency
- the rate of any cash discount offered
- the total amount of VAT chargeable — this must be expressed in sterling
- the unit price (applicable to countable elements).

Simplified VAT invoices (≤£250)

- suppliers name, address, and VAT registration number
- the time of supply (tax point)
- a description which identifies the goods or services supplied
- for each applicable VAT rate, the total amount payable, including VAT and the VAT rate.

Modified VAT invoices

- a full VAT invoice showing the VAT inclusive rather than VAT exclusive values.

7. Partial exemption for VAT

De minimis amount	≤£625 per month
Proportion of total input tax	≤50%

- Generally, a partially exempt business cannot reclaim the input tax paid on purchases that relate to exempt supplies.
- If the amount of input tax incurred relating to exempt supplies is below a minimum de minimis amount, input tax can be reclaimed in full.
- If the amount of input tax incurred relating to exempt supplies is above the de minimis amount, only the part of the input tax that related to non-exempt supplies can be reclaimed.

8. International trade and VAT

Export of goods	Zero-rated
Import of goods	UK VAT applied using postponed accounting.
Export of services	Apply UK VAT if place of supply is in the UK: • for supplies to business, place of supply is the location of the customer (outside the scope of UK VAT) • for supplies to non-business customers, place of supply is the location of the supplier (charge UK VAT).
Import of services	Reverse charge applies

9. Tax points for VAT

Basic tax point date	Date of despatch of the goods/carrying out of the service
Actual tax point date may be earlier	If either: • payment is received earlier • invoice is issued earlier. Actual tax point becomes the earlier of these two dates.
Actual tax point date may be later	If invoice is issued within 14 days of despatch/service (and advance payment didn't apply).

- Deposits are treated separately to final payment and so may have a different tax point.
- The tax point is always the date of payment if cash basis is being applied.
- Where services are being supplied on a continuous basis over a period in excess of a month, but invoices are being issued regularly throughout the period, a tax point is created every time an invoice is issued or a payment is made, whichever happens first.
- Goods on sale or return will have a tax point date either on adoption (the customer indicates they will keep the goods) or 12 months after removal of the goods where this is earlier.

10. Time limits for issuing VAT invoices

Within 30 days of tax point which is either:

- within 30 days of date of supply or
- within 30 days of payment if payment was in advance.

11. Blocked expenses and VAT

Input tax cannot be recovered on blocked expenses.

Business entertainment

- The exception is that input tax can be reclaimed in respect of entertaining overseas customers, but not UK or Isle of Man customers.
- When the entertainment is in respect of a mixed group of both employees and non-employees (e.g. customers and/or suppliers), the business can only reclaim VAT on the proportion of the expenses that is for employees and on the proportion for overseas customers.

Cars

- Input tax can only be recovered on cars if it is wholly for business (no private use).
- 50% of input tax can be recovered when cars are hired/leased.
- VAT can be recovered on commercial vehicles such as vans/lorries.

Assets with private use

- The input tax recovery should be based only on the proportion related to business use.

12. Fuel scale charges and VAT

If the business pays for road fuel, it can deal with the VAT charged on the fuel in one of four ways:

- reclaim all of the VAT. All of the fuel must be used only for business purposes
- reclaim all of the VAT and pay the appropriate fuel scale charge (as follows) - this is a way of accounting for output tax on fuel that the business buys but that is then used for private motoring
- reclaim only the VAT that relates to fuel used for business mileage. Detailed records of business and private mileage must be kept
- do not reclaim any VAT. This can be a useful option if mileage is low and also if fuel is used for both business and private motoring. If the business chooses this option, it must apply it to all vehicles, including commercial vehicles.

The fuel scale charge is as follows:

Description of vehicle: vehicle's CO2 emissions figure	VAT inclusive consideration for a 12 month prescribed accounting period (£)	VAT inclusive consideration for a 3 month prescribed accounting period (£)	VAT inclusive consideration for a 1 month prescribed accounting period (£)
120 or less	661	164	54
125	990	248	82
130	1,059	263	87
135	1,122	280	93
140	1,191	297	99
145	1,255	313	103
150	1,323	330	109
155	1,387	347	115
160	1,456	363	120
165	1,520	380	126
170	1,588	396	131
175	1,652	412	137
180	1,721	429	143
185	1,784	446	148
190	1,853	462	153
195	1,917	479	159
200	1,985	496	164

Description of vehicle: vehicle's CO2 emissions figure	VAT inclusive consideration for a 12 month prescribed accounting period (£)	VAT inclusive consideration for a 3 month prescribed accounting period (£)	VAT inclusive consideration for a 1 month prescribed accounting period (£)
205	2,049	512	170
210	2,118	528	175
215	2,182	545	181
220	2,250	561	187
225 or more	2,314	578	192

- Where the CO₂ emission figure is not a multiple of 5, the figure is rounded down to the next multiple of 5 to determine the level of the charge.

13.VAT bad debt relief

VAT that has been paid to HMRC and which has not been received from the customer can be reclaimed as bad debt relief. The conditions are that:

- the debt is more than six months and less than four years and six months old
- the debt has been written off in the VAT account and transferred to a separate bad debt account
- the debt has not been sold or handed to a factoring company
- the business did not charge more than the normal selling price for the items.

Bad debt relief does not apply when the cash accounting scheme is used because the VAT is not paid to HMRC until after the customer has paid it to the supplier.

14. Due dates for submitting VAT returns and payment of VAT

Deadline for submitting return and paying VAT	1 month and 7 days after the end of the VAT period
Deadline if being paid by direct debit	HMRC will collect 3 working days after the submission deadline.

- Please see alternative submission and payment deadlines for special accounting schemes.

15. Special accounting schemes for VAT

15.1 Annual accounting scheme

Joining the scheme	Maximum (estimated) taxable turnover in the next 12 months	£1.35m
Leaving the scheme	Compulsory if taxable turnover at the end of the VAT accounting year exceeds the threshold	£1.6m
VAT returns	One annual return	2 months after the end of the accounting period
VAT payments (monthly)	Nine monthly interim payments (10% of estimated VAT bill based on previous returns)	At the end of months 4 to 12 in the accounting period
	Balancing payment	2 months after the end of the accounting period
VAT payments (quarterly)	Three interim payments (25% of estimated VAT bill based on previous returns)	At the end of months 4, 7 and 10 in the accounting period
	Balancing payment	2 months after the end of the accounting period

15.2 Cash accounting scheme

Joining the scheme	Maximum (estimated) taxable turnover in the next 12 months	£1.35m
Leaving the scheme	Compulsory if taxable turnover at the end of a VAT accounting year exceeds the threshold	£1.6m
Deadlines for submission and payment		Same as normal scheme

15.3 Flat rate scheme

Joining the scheme	Maximum taxable turnover (excluding VAT) in the next 12 months	£150,000
Leaving the scheme	On the anniversary of joining, maximum turnover (including VAT) in the last 12 months or expected in the next 12 months	£230,000
Discount	In first year of being VAT registered	1%
Limited cost business	Goods cost less than either: • 2% of turnover, or • £1,000 a year	16.5%
Capital expenditure	Input tax can be recovered on individual large capital purchases	£2,000
Deadlines for submission and payment		Same as normal scheme

- The appropriate flat rate % will be provided in the assessment.

16.Errors in previous VAT returns

Errors can be corrected that have been included in VAT returns for the preceding four years, as long as the net value of the errors is either:

- £10,000 or less
- between £10,000 and £50,000 but less than 1% of the total value of sales (Box 6).

For these kinds of errors, make an adjustment or correction in the next VAT return.

If VAT is due to HMRC because of the net errors, the net value of errors is added to the VAT due on sales and other outputs.

If VAT is reclaimable because of the net errors, the net value of errors is added to VAT reclaimed on purchases and other inputs.

HMRC must be informed separately about net errors that are:

- over £50,000
- over £10,000 if they exceed 1% of the total value of sales
- deliberate errors.

17.Late submission and late payment of VAT

17.1.Late submission

Submission frequency	Penalty point threshold	Period of compliance to reset points
Annual	2 points	24 months
Quarterly	4 points	12 months

Initial penalty	£200
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Subsequent penalty	£200
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Removal of penalty points

Business has not reached penalty threshold

Individual penalty points will expire automatically, depending on the date the VAT return was due.

If the deadline for the VAT return was:

- not the last day of a month — a penalty point expires on the last day of the month, 24 months after this
- the last day of a month — a penalty point expires on the last day of the month, 25 months after this

Business has reached penalty threshold

All points will be reset to zero if both conditions below are met:

- a period of compliance (meeting all submission obligations on time for the period of compliance), and
- all submissions due in the preceding 24 months have been made (whether or not they were on time).

17.2. Late payment

Number of days overdue	First late payment penalty	Second late payment penalty
up to 15	None	None
16 to 30	3% on the VAT outstanding at day 15	None
31 or more	3% on the VAT outstanding at day 15 AND 3% on the VAT outstanding at day 30	A daily rate based on 10% per annum charged every day from day 31 until paid in full

17.3. Interest charged

Interest is calculated at the Bank of England base rate plus 4%.

The Bank of England base rate will be given in the assessment.

18. Assessment of VAT

If a VAT Return is not submitted on time, HMRC will issue a 'VAT notice of assessment of tax' which will state how much HMRC think is owed.

If HMRC issue an assessment that is too low, a penalty of up to 30% can be charged for not telling them it is incorrect within 30 days.

19. Penalties for inaccuracies in VAT returns

A penalty can be charged as a percentage of the potential lost revenue (PLR):

Type of behaviour	Unprompted disclosure %	Prompted disclosure %
Careless	0 - 30	15 - 30
Deliberate	20 - 70	35 - 70
Deliberate and concealed	30 - 100	50 - 100

20. Payroll record retention

Retention period	3 years from end of tax year
Penalty for failure to maintain records	£3,000

21. Types of payroll submission

Full Payment Submission (FPS)

- File on or before employees pay day.
- Include payments to and deductions for all employees.

Employer Payment Summary (EPS)

- File if no employees were paid in the month.
- Send by the 19th of the following tax month.

22. Payroll deadlines

Registering for PAYE	You must register before the first payday. You cannot register more than 2 months before you start paying people
Month end date for PAYE	5 th of each month
Payment date for monthly payroll	22 nd of the following month if paid electronically. 19 th otherwise. If monthly amounts are <£1,500, quarterly payments can be made
Provide employees with P60	31 st May following the end of the tax year
Filing deadline for Expenses & Benefits forms (unless they are payrolled)	6 th July following the end of the tax year
Class 1A NIC payment date	22 nd July following the end of the tax year, if paying electronically. 19 th July following the end of the tax year, otherwise.

23. Penalties for late submission of payroll returns

Penalties may apply if:

- an FPS was late
- the expected amount of FPSs were not filed
- an EPS was not filed.

Number of employees	Monthly penalty
1 to 9	£100
10 to 49	£200
50 to 249	£300
250 or more	£400

Penalties may not apply if:

- the FPS is late but all reported payments on the FPS are within three days of the employee payday (unless there is regular lateness)
- a new employer is late but sends the first FPS within 30 days of paying an employee
- it is a business's first failure in the tax year to send a report on time.

24. Penalties for late payroll payments

Late payment of monthly/quarterly payments

- The first failure to pay in a tax year does not count as a default.
- Late payment penalties apply to late payments and payments of less than is due.

Number of defaults in a tax year	Penalty percentage applied to the amount that is late in the relevant tax month
1 to 3	1%
4 to 6	2%
7 to 9	3%
10 or more	4%

Additional penalties will apply if:

A monthly or quarterly amount remains outstanding after 6 months	5% of unpaid tax
A monthly or quarterly amount remains outstanding after 12 months	A further 5% of unpaid tax

These additional penalties apply even where only one payment in the tax year is late.

Late payments of amounts due annually or occasionally

30 days late	5%
6 months late	Additional 5%
12 months late	Additional 5%

Interest

Interest is calculated at the Bank of England base rate plus 4%.

The Bank of England base rate will be given in the assessment.

25. Penalties for inaccuracies in payroll returns

A penalty can be charged as a percentage of the potential lost revenue (PLR):

Type of behaviour	Unprompted disclosure %	Prompted disclosure %
Careless	0 - 30	15 - 30
Deliberate	20 - 70	35 - 70
Deliberate and concealed	30 - 100	50 - 100

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